Procurement Policy

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1. Purpose and scope

1.1 This policy sets the rules for buying goods and services for Northwind Air.

1.2 It applies to every purchase made with company funds, whether by a department, a project team or an individual employee.

2. Principles

2.1 Purchases must be competitive, documented and made in the interest of the company.

2.2 Employees must declare any personal interest in a supplier before taking part in a purchasing decision.

3. Competitive quotes

3.1 Contracts over CAD 50,000 require three competitive quotes.

3.2 A single-source purchase must be justified in writing and approved by a director.

3.3 Quotes must be kept with the purchase record.

4. Approval authority

4.1 Purchases are approved by the person named in Table 4.1, based on the purchase value.

Table 4.1 Approval authority for purchases

Purchase value	Approver
Up to CAD 5,000	Department manager
CAD 5,001 to CAD 25,000	Director
Over CAD 25,000	Vice president

4.2 A purchase must not be split into smaller orders to stay under an approval limit.

5. Suppliers

5.1 New suppliers must pass a due diligence check before the first order is placed.

5.2 Suppliers must accept the company supplier code of conduct.

5.3 Supplier performance is reviewed once a year for contracts that run longer than one year.

6. Corporate travel purchases

6.1 Employees must book flights through the approved travel portal.

6.2 Negotiated airline and hotel rates are managed by the Procurement team and published in the portal.

7. Vehicle and equipment hire

7.1 This policy governs all vehicle rentals, and all rental agreements must be arranged by the Procurement team.

7.2 Ground support equipment hired for airport operations follows the same approval rules as any other purchase.

8. Payment

8.1 Suppliers are paid against an approved invoice and a confirmed delivery.

8.2 Advance payments require approval from the finance director.